22. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the weighted average annual income tax rate expected for the full financial year. The average annual tax rate expected as of September 30, 2020 to be effective for the year ended December 31, 2020 is 27.7%.

23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and nine month period ended September 30, 2020 and 2019 are calculated as follows:

(1) Ordinary shares

	September 30, 2020		September 30, 2019	
(In millions of Korean won, thousands of number of shares)	3 Month	9 Month	3 Month	9 Month
Profit for the period attributable to owners of the parent company	₩ 9,266,814	₩ 19,645,377	₩ 6,105,039	₩ 16,277,059
Profit for the period available for ordinary shares	8,144,201	17,265,470	5,365,454	14,305,202
Weighted-average number of ordinary shares outstanding	5,969,783	5,969,783	5,969,783	5,969,783
Basic earnings per ordinary share *(in Korean won)*	1,364	2,892	899	2,396

(2) Preference shares

	September 30, 2020		September 30, 2019	
(In millions of Korean won, thousands of number of shares)	3 Month	9 Month	3 Month	9 Month
Profit for the period attributable to owners of the parent company	₩ 9,266,814	₩ 19,645,377	₩ 6,105,039	₩ 16,277,059
Profit for the period available for preference shares	1,122,613	2,379,907	739,585	1,971,857
Weighted-average number of preference shares outstanding	822,887	822,887	822,887	822,887
Basic earnings per preference share *(in Korean won)*	1,364	2,892	899	2,396

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three and nine month period ended September 30, 2020 and 2019.

24. Cash Generated from Operating Activities

Adjustments and changes in assets and liabilities arising from operating activities for the nine month period ended September 30, 2020 and 2019 are as follows:

- Adjustments

(In millions of Korean won)		2020		2019
Adjustments:				
Income tax expense	₩	7,569,953	₩	6,201,245
Financial income		(2,857,929)		(3,150,812)
Financial expenses		1,859,118		1,773,458
Post-employment benefits		939,597		828,596
Depreciation		20,034,922		20,026,883
Amortization		2,424,446		826,921
Bad debt expenses (reversal)		61,073		(205,711)
Dividend income		(112,549)		(116,091)
Share of profit of associates and joint ventures		(372,451)		(252,672)
Gain on disposal of property, plant and equipment		(114,031)		(223,067)
Loss on disposal of property, plant and equipment		119,803		103,079
Loss on valuation of inventories		1,183,776		708,114
Gain on disposal of investments		(37,818)		(39,387)
Others		741,161		(82,146)
Total	₩	31,439,071	₩	26,398,410

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)		2020		2019
Changes in assets and liabilities :				
Decrease (increase) in trade receivables	₩	(5,877,533)	₩	(2,435,271)
Decrease (increase) in other receivables		657,998		(52,847)
Decrease (increase) in advance payments		(57,412)		(179,428)
Decrease (increase) in prepaid expenses		(447,365)		307,985
Decrease (increase) in inventories		(7,302,182)		(1,542,096)
Increase (decrease) in trade payables		3,355,220		869,972
Increase (decrease) in other payables		93,851		(1,298,315)
Increase (decrease) in advances received		76,151		201,201
Increase (decrease) in withholdings		34,960		(136,253)
Increase (decrease) in accrued expenses		2,601,050		(3,756,007)
Increase (decrease) in provisions		771,434		1,801,921
Payment of post-employment benefits		(424,665)		(265,132)
Others		(1,903,275)		(987,477)
Total	₩	(8,421,768)	₩	(7,471,747)

Repayment of the principal (financial activities) for the nine month period ended September 30, 2020 and 2019, were ₩ 631,742 million and ₩ 494,828 million, respectively, while payment of interest expenses for lease liabilities (operating activities) amount to ₩ 83,720 million and ₩ 76,891 million, respectively.